

PROPOSED
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2148
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 41, chapter 49, Arizona Revised Statutes, is
3 amended by adding article 2, to read:

4 ARTICLE 2. APPROPRIATION OF FEDERAL MONIES

5 41-4921. Definitions

6 IN THIS ARTICLE, UNLESS THE CONTEXT OTHERWISE REQUIRES:

7 1. "BUDGET UNIT" HAS THE SAME MEANING PRESCRIBED IN SECTION 35-101.

8 2. "NONCUSTODIAL FEDERAL MONIES":

9 (a) MEANS FEDERAL MONIES THAT MEET ONE OF THE FOLLOWING CRITERIA:

10 (i) ARE DESIGNATED BY THE FEDERAL GOVERNMENT AS BLOCK GRANT MONIES.

11 (ii) ARE DESIGNATED BY THE FEDERAL GOVERNMENT AS GENERAL REVENUE
12 SHARING MONIES.

13 (iii) PROVIDE THIS STATE WITH BROAD AUTHORITY TO MAKE SPENDING
14 DECISIONS REGARDING DEVELOPING, IMPLEMENTING OR OPERATING A PROGRAM OR
15 SERVICE.

16 (iv) ARE CONSIDERED ESSENTIAL TO MEET TOTAL SPENDING OBLIGATIONS OF
17 A FEDERALLY REQUIRED OR MATCHED PROGRAM OR SERVICE AUTHORIZED BY THE
18 LEGISLATURE IN WHICH THE FEDERAL GOVERNMENT REQUIRES AT LEAST ONE PERCENT
19 OF THE PROGRAM OR SERVICE FUNDING TO COME FROM THIS STATE.

20 (b) DOES NOT INCLUDE[;]

21 [i)] FEDERAL MONIES FOR USE BY THE DEPARTMENT OF EMERGENCY AND
22 MILITARY AFFAIRS.

23 [(ii) FEDERAL MONIES OR RESEARCH GRANTS THAT ARE AWARDED TO
24 UNIVERSITIES, UNIVERSITY EMPLOYEES OR THE ARIZONA BOARD OF REGENTS FOR AND
25 ON BEHALF OF THE UNIVERSITIES UNDER JURISDICTION OF THE ARIZONA BOARD OF
26 REGENTS.]

1 41-4922. Receipt of noncustodial federal monies; accounting

2 A BUDGET UNIT THAT RECEIVES NONCUSTODIAL FEDERAL MONIES SHALL
3 ACCOUNT FOR THE NONCUSTODIAL FEDERAL MONIES IN SEPARATE ACCOUNTS OR FUNDS
4 AS NECESSARY TO MEET ACCOUNTING, BUDGETARY AND AUDITING REQUIREMENTS. THE
5 DEPARTMENT OF ADMINISTRATION MAY USE THE MOST EFFICIENT SYSTEM OF ACCOUNTS
6 AND RECORDS, CONSISTENT WITH LEGAL REQUIREMENTS AND STANDARDS, AND
7 NECESSARY FISCAL SAFEGUARDS.

8 41-4923. Appropriation of federal monies; legislative powers
9 and duties

10 A. THE LEGISLATURE RETAINS THE AUTHORITY TO APPROPRIATE
11 NONCUSTODIAL FEDERAL MONIES. IF THE LEGISLATURE DOES NOT MAKE AN
12 APPROPRIATION FOR EITHER A PARTICULAR FUND, A SPECIFIC GRANT PROGRAM OR A
13 BLOCK OF NONCUSTODIAL FEDERAL MONIES, THE BUDGET UNIT THAT HAS LAWFUL
14 AUTHORITY SHALL ADMINISTER AND SPEND THESE MONIES PURSUANT TO FEDERAL AND
15 STATE LAW.

16 B. THE LEGISLATURE SHALL SPECIFY IN EACH NONCUSTODIAL FEDERAL
17 MONIES APPROPRIATION THE PURPOSES FOR WHICH THE NONCUSTODIAL FEDERAL
18 MONIES ARE TO BE USED, CONSISTENT WITH FEDERAL LAW. FOR THE PURPOSES OF
19 OBTAINING EXPENDITURE AUTHORITY FOR UNANTICIPATED NONCUSTODIAL FEDERAL
20 MONIES THAT MAY BECOME AVAILABLE WHEN THE LEGISLATURE IS NOT IN SESSION,
21 THE LEGISLATURE MAY MAKE A LUMP SUM APPROPRIATION. BEFORE SPENDING MONIES
22 FROM THE LUMP SUM APPROPRIATION, THE BUDGET UNIT SHALL SUBMIT THE PROPOSED
23 EXPENDITURE TO THE JOINT LEGISLATIVE BUDGET COMMITTEE FOR REVIEW, SUBJECT
24 TO ANY CONDITION SPECIFIED BY THE LEGISLATURE.

25 C. IF THE AMOUNT OF THE NONCUSTODIAL FEDERAL MONIES RECEIVED IS
26 LESS THAN THE AMOUNT APPROPRIATED, THE APPROPRIATION OF NONCUSTODIAL
27 FEDERAL MONIES SHALL BE REDUCED TO THE AMOUNT OF THE NONCUSTODIAL FEDERAL
28 MONIES RECEIVED. THE ACTIVITIES FINANCED BY THE NONCUSTODIAL FEDERAL
29 MONIES SHALL BE REDUCED PROPORTIONATELY.

30 D. IF THE AMOUNT OF THE NONCUSTODIAL FEDERAL MONIES RECEIVED IS
31 MORE THAN THE AMOUNT APPROPRIATED, THE TOTAL APPROPRIATION OF FEDERAL AND
32 STATE MONIES ALLOCATED FOR A PROGRAM OR SERVICE SHALL REMAIN AT THE AMOUNT
33 DESIGNATED BY THE LEGISLATURE. THE STATE TREASURER SHALL CREDIT THE
34 EXCESS NONCUSTODIAL FEDERAL MONIES TO THE APPROPRIATE BUDGET UNIT ACCOUNT.

35 Sec. 2. Effective date

36 This act is effective from and after December 31, 2027.

37 Enroll and engross to conform

38 Amend title to conform

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